

Globe Civil Projects Ltd.

Company Overview:

Globe Civil Projects Ltd (GCPL), incorporated in 2002, is an integrated engineering, procurement and construction (EPC) company headquartered in New Delhi. The company is involved in execution and construction of infrastructure projects comprising of Transport and Logistics projects, Social and Commercial projects and non-Infrastructure projects comprising of commercial offices and housing.

Key Highlights:

1. Strong project management and execution capabilities: The company has a strong track record of project execution with 37 projects completed in the last two decades. Currently, the company has 13 on-going projects for diverse set of corporate, government and other customers across various segments.

2. Robust order book: As of Mar'25, the company has an order book of Rs 669.1 cr, providing strong revenue visibility for the near term. In addition to the order book growth, the company is also focusing on adding projects with better margins and prestigious projects that help enhance the company's reputation and execution track record.

3. Expansion plans: The company is currently present in 11 states across the country and has focus on contiguous expansion strategy. GCPL plans to expand its geographical presence with an initial focus on adding newer geographies such as West Bengal and Odisha.

Industry Outlook: India's construction market is expected to be the second largest globally by 2030, with construction sector GVA expected to grow to Rs 20.7 trillion, a projected growth rate of 5.8% CAGR between FY 2025-30.

Key Risks: Concentration of business activities in single state (Delhi contributed 66.1%/47.2% of revenue in 9MFY25/FY24 respectively); Inability to win tender offer; Delays or cancellation of orders; Inability to execute expansion plans; High working capital requirement (net working capital days of 103 days in FY24).

Valuation: The company is valued at 9MFY25 annualised P/E and EV/EBITDA multiple of 17.9x /10.6x respectively. The Revenue/EBITDA/PAT has grown at a CAGR of 7.8%/39.6%/72.0% to Rs 332 cr/Rs 45 cr/Rs 15 cr respectively during FY22-FY24. The current order book position (~2.0x of 9MFY25 annualised revenue) provides healthy revenue visibility for near term. However, D/E at 1.4x as of Dec'24 is relatively higher than its peers. Company's scale of operation is also very small which can impact financial performance if any project is stalled. Investors are advised to review the financial performance of the company post listing. We maintain NEUTRAL outlook on the company.

Particulars (Rs cr)	FY22	FY23	FY24	9MFY25	FY22-FY24 CAGR (%)
Revenue	285.7	233.3	332.2	254.7	7.8
YoY (%)	-	-18.3	42.3	-	-
EBITDA	22.9	20.8	44.7	39.3	39.6
YoY (%)	-	-9.2	114.7	-	-
PAT	5.2	4.9	15.4	17.8	72.0
YoY (%)	-	-6.7	217.0	-	-
EBITDA (%)	8.0	8.9	13.4	15.4	-
PAT (%)	1.8	2.1	4.6	7.0	-
RoE (%)	9.1	7.8	19.8	-	-
RoCE (%)	15.3	11.0	20.2	-	-
D/E (x)	1.2	1.6	1.6	1.4	-
P/E (x)	81.5	87.4	27.6	-	-
EV/EBITDA (x)	21.5	25.0	12.1	-	-
CFO	7.4	(11.2)	4.2	(3.3)	-
CFI	0.2	(3.5)	(11.3)	(0.4)	-
CFF	(9.6)	14.8	7.0	3.7	-
FCF	5.3	(15.1)	(7.4)	(2.5)	-

Note: P/E (x) and EV/EBITDA (x) are based on post-issue share capital @ upper price band

Issue Details	
Date of Opening	24 th June 2025
Date of Closing	26 th June 2025
Price Band (Rs)	67-71
Fresh Issue (Rs cr)	119
Issue Size (Rs cr)	119
Issue Size (No. of shares)	1,67,60,560
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	400-424
BRLMs	Mefcom Capital Markets Ltd.
Registrar	Kfin Technologies Ltd.
Bid Lot	211 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirements	75.0
Capital expenditure towards purchase of construction equipment/machineries	14.3
General corporate purposes*	-
Total proceeds from fresh issue	119.0

*To be finalised upon determination of the Issue Price and updated in the Prospectus at the time of filing with the RoC.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,78,65,239	88.1
Public & Others	50,93,200	11.9
Total	4,29,58,439	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,78,65,239	63.4
Public & Others	2,18,53,760	36.6
Total	5,97,18,999	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,78,65,239	63.4
Public & Others	2,18,53,760	36.6
Total	5,97,18,999	100.0

Source: RHP, SSL Research

Peer Comparison – FY25

Particulars (Rs cr)	Globe Civil Projects Ltd.	B.L. Kashyap & Sons Ltd.	Ceigall India Ltd.	PSP Projects Ltd.	Capacite Infraprojects Ltd.	Ahluwalia Contracts (India) Ltd.
CMP (Rs @ UB)	71	67	243	763	328	920
Market Cap (@ UB)	424	1,517	4,231	3,026	2,772	6,163
Revenue	339	1,154	3,437	2,512	2,350	4,099
EBITDA	52	65	518	179	379	342
PAT	24	17	287	56	203	202
EBITDA Margin (%)	15.4	5.6	15.1	7.1	16.1	8.3
PAT Margin (%)	7.0	1.5	8.4	2.2	8.6	4.9
RoE (%)	23.8	3.3	15.7	4.6	11.8	11.2
P/E (x)	17.9	87.8	14.7	54.0	13.7	30.5
EV/EBITDA (x)	10.6	27.7	8.9	17.3	8.2	15.2

For Globe Civil Projects Ltd, financials are annualised based on 9MFY25 data and the Market Cap, EV/EBITDA (x) & P/E (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 17th June, 2025.

Source: RHP, SSL Research.

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